MERIDIAN
CAPITAL

Tactical Deviation

Discretionary equity investing

One-third of the portfolio in six stocks

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USI · Asset Management Challenge 2026 · Round 2

Round 1 performance

16 OCTOBER–6 NOVEMBER

−2.885%

Ending NAV: $97.115m

Realized volatility	8.14%
SAA target	8.00%
Realized Sharpe	−6.50

With only fifteen daily returns, a few losses have a large effect on annualized Sharpe.

CONTRIBUTION TO RETURN, PP



DBC accounts for 61% of the net loss.

Closing prices, including $100,916.79 of VGSH/STIP distributions in NAV. Submitted report, 4.

How we paid for the stocks



ETF	SAA	Round 2 target
SPY	26.08%	17.39%
EEMV	9.66%	6.44%
DBC	26.95%	17.97%
SCHD	3.28%	2.19%
VGSH	5.00%	3.33%
STIP	29.03%	19.35%

$32.372m stock budget

One-third of the portfolio value after Round 1, as required in class.

Sell each ETF proportionally

We reduce each ETF target to two-thirds of its original weight.

DBC falls from 26.95% to 17.97%. Exxon also exposes us to energy prices.

NAV $97,115,068.58. Entered 7 November using 6 November closing prices. No fees; whole-share cash $116.05. Submitted report, 1.1 and 5.

How we valued the stocks

Normalized EPS × our chosen P/E = estimated value

Stock	Entry price	EPS	P/E	Value	Margin of safety
ADBE	$239.30	18.145	16×	$290.32	17.57%
KR	$67.70	5.2	15×	$78.00	13.21%
HRL	$21.95	1.48	17×	$25.16	12.76%
BMY	$62.14	6.45	11×	$70.95	12.42%
XOM	$165.87	10	18×	$180.00	7.85%
HPQ	$28.46	2.38	13.5×	$32.13	11.42%

Are the earnings sustainable?

We check guidance, one-off items, cash flow and peers.

What could change the price?

We check cash values, business risks and news expected before the challenge ends.

USD per share. Margin of safety = $1 - P/V$; upside = $V/P - 1$. EPS basis differs by company and is stated on each stock slide. Submitted report, 2 and 3.

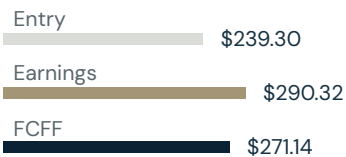
ADBE | Adobe

NAV ALLOCATION

4.65%

Earnings value: $290.32

GAAP EPS $18.145 × 16



Earnings margin of safety: 17.57%

Strong cash flow, with AI competition to watch

FCF margin is 41.4%, above history and peers. Cash values deduct SBC.

Catalyst

9 December: FY2027 outlook on renewals, prices and paid AI revenue.

Main risk

Customers may switch to cheaper AI tools. A 20% cash reduction gives a value of $216.54.

USD per share. Cash values use our FCFF assumptions. Submitted report, 2.1; issuer earnings release.

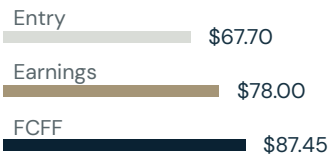
KR | Kroger

NAV ALLOCATION

8.10%

Earnings value: $78.00

Adjusted EPS $5.20 × 15



Earnings margin of safety: 13.21%

Steady grocery demand and good cash conversion

FCF margin is 2.3%, above history and peers. Grocery margins are thin.

Catalyst

3 December: results after the e-commerce reset: sales, fulfillment costs and guidance.

Main risk

Cash covers dividends 2.40×. Buybacks exceed the cash left after dividends.

USD per share. Cash values use our FCFF assumptions. Submitted report, 2.2; issuer earnings release.

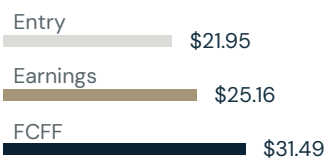
HRL | Hormel Foods

NAV ALLOCATION

6.90%

Earnings value: $25.16

Adjusted EPS $1.48 × 17



Earnings margin of safety: 12.76%

Margins and cash flow need to recover

We need margins to recover to justify 17× earnings. FCF margin is only 4.4%.

Catalyst

3 December: the new CEO's FY2027 outlook. We will watch Retail volumes and margins.

Main risk

Dividend cover falls from 1.17× to about 1.00× with acquisition debt and refinancing costs.

USD per share. Cash values use our FCFF assumptions. Submitted report, 2.3; issuer earnings release.

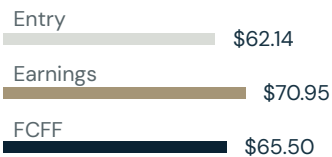
BMY | Bristol Myers Squibb

NAV ALLOCATION

6.33%

Earnings value: $70.95

Non-GAAP EPS $6.45 × 11



Earnings margin of safety: 12.42%

New medicines need to replace lost sales

We use 11× earnings and flat cash flow to allow for patent expiries.

Catalyst

12–15 December: ASH data. Milvexian/Sotyktu results are expected by year-end; exact dates are unknown.

Main risk

There is little room for weaker cash flow. A 2% annual decline for five years gives $58.59.

USD per share. Cash values use our FCFF assumptions. Submitted report, 2.4; issuer earnings release.

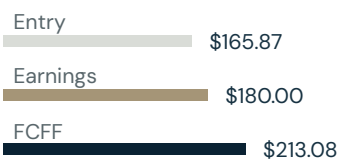
XOM | Exxon Mobil

NAV ALLOCATION

3.62%

Earnings value: $180.00

Cycle-normalized EPS $10.00 × 18



Earnings margin of safety: 7.85%

New projects could support future earnings

We estimate $10 EPS across the cycle. The cash model uses the same assumption.

Catalyst

Expected in Q4: Uaru start-up and the corporate plan. Neither event has a confirmed date.

Main risk

Weaker-cycle cash flow gives $166.61, close to entry. We already hold energy exposure through DBC.

USD per share. Cash values use our FCFF assumptions. Submitted report, 2.5; issuer earnings release.

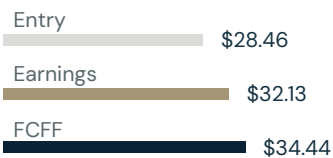
HPQ | HP

NAV ALLOCATION

3.73%

Earnings value: $32.13

GAAP EPS ($2.57 − $0.19) × 13.5



Earnings margin of safety: 11.42%

We remove the tariff refund from earnings

The refund is temporary. Negative equity also makes P/B and ROE hard to interpret.

Catalyst

24 November: FY2027 guidance. We will watch PC margins, memory costs and printing.

Main risk

Falling print sales or weaker cash flow would put pressure on earnings, dividends and buybacks.

USD per share. Cash values use our FCFF assumptions. Submitted report, 2.6; issuer earnings release.

Alphas and portfolio weights

$$w_i = \frac{1}{3}\,\frac{\max(\alpha_i, 0)/\sigma^2_{\varepsilon i}}{\sum_j \max(\alpha_j, 0)/\sigma^2_{\varepsilon j}}$$

Stock	Annual alpha	Residual vol.	Fund weight
ADBE	12.07%	34.81%	4.65%
KR	8.14%	21.66%	8.10%
HRL	7.79%	22.96%	6.90%
BMY	7.52%	23.55%	6.33%
XOM	4.51%	24.12%	3.62%
HPQ	7.23%	30.08%	3.73%

Kroger has the largest weight

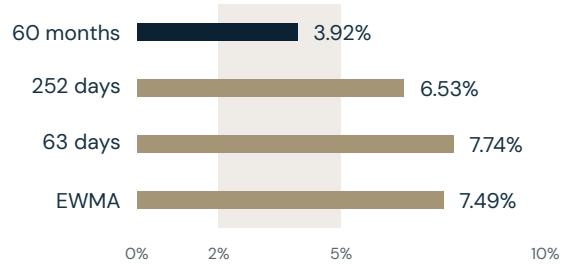
Kroger has relatively low residual variance, so its alpha-to-variance score is high.

The 8.10% target is just above our own 8% preference. Stocks with negative alpha get zero weight.

Alpha = $0.5(1 + k)(V/P - 1)$; k uses market beta. Residual risk comes from 60 monthly excess returns regressed on the SAA. The 50% haircut is a judgement. Submitted report, 3.

Tracking error and portfolio risk

ANNUAL TRACKING ERROR



Shaded band: the required 2–5% range.

	SAA	New
Volatility	7.89%	9.47%
1-month VaR	3.74%	4.50%

We meet the course requirement using monthly returns. The daily estimates show higher short-term risk.

The original 8% volatility target applies to the SAA.

November 2021–October 2026 monthly USD returns. Volatility is annualized; 5% VaR assumes zero-mean normal returns. Submitted report, 1.2.

Backtests with different start dates

33-SESSION ACTIVE RETURN

DBC methodology period	Mean
Before the change	$+0.321\%$
After the change	-0.395%

Later-period 95% interval



The block-bootstrap interval for mean active return includes zero.

217 overlapping starts
Only 6–7 non-overlapping windows per offset; 44.2% beat the SAA.

Monthly TE understated risk
At 10 dates when monthly TE passed, daily TE later exceeded 5% in 80% of cases.

We reuse today's stocks and assumptions, which limits what the backtests tell us about future returns.

DBC split: 10 November 2025. Fixed allocations and zero fees. Submitted report, 1.2; notebook tests.

Expected IR and its assumptions

Annual residual IR	Estimate
Assuming independent residuals	0.756
Including residual correlations	0.696
Lower cash or earnings value	0.564
Original fair values reduced 5%	0.426

Annual estimates. We keep the same holdings in both valuation tests.

Fundamental Law

$$IR = IC\sqrt{N}$$

With six independent ideas, an assumed $IC = 0.10$ gives $IR = 0.245$.

Our classroom estimate would require $IC \approx 0.309$, which assumes much greater forecasting skill.

The theoretical Sharpe gain is $\sqrt{S_B^2 + IR_A^2} - S_B$, under valid alphas and optimal beta-adjusted mixing. Our stock allocation is fixed at one-third.

Residual IR uses alpha per unit of residual risk; whole-fund active TE also reflects the SAA beta difference. Submitted report, 3.

The portfolio we entered

INDIVIDUAL STOCKS

33.33%

ADBE · KR · HRL · BMY · XOM · HPQ

Our estimated values exceed entry prices. We checked cash flow and identified news expected during the challenge.

Monthly TE: 3.92%

The remaining two-thirds keep the original ETF proportions.

Main risks

Daily risk is higher, and prices may take time to adjust. BMY has little valuation cushion; Exxon's dates are uncertain.

Questions

Report Code and model

Entered 7 November at 6 November closing prices. The holdings and quantities match the submitted report.

Cash-flow assumptions

Stock	5-year growth	Terminal growth	WACC	FCFF value	Lower value
ADBE	8.0%	3.0%	13.08%	$271.14	$271.14
KR	3.0%	2.0%	6.31%	$87.45	$78.00
HRL	2.0%	2.0%	6.20%	$31.49	$25.16
BMY	0.0%	0.0%	5.83%	$65.50	$65.50
XOM	2.0%	2.0%	5.83%	$213.08	$180.00
HPQ	4.0%	3.0%	10.94%	$34.44	$32.13

Lower value = min(earnings, FCFF). We use the same debt policy in FCFF and FCFE. Terminal value is a large part of the result.

We deduct SBC and adjust for cash, debt and minority interests. The values depend on our starting cash flow, growth and discount rates.

Values in USD per share. Submitted report, 2.7; companion notebook.

Growth and holding-period assumptions

Stock	Base growth	Implied growth
ADBE	8.0%	4.89%
KR	3.0%	0.70%
HRL	2.0%	-0.59%
BMY	0.0%	-0.95%
XOM	2.0%	0.29%
HPQ	4.0%	1.57%

Cash growth needed over five years to justify the entry price, using the lower valuation and keeping other inputs fixed.

Adobe: annual cash-based IRR

Scenario	IRR
1-year convergence	28.17%
3-year convergence	17.21%
3-year discount persists	12.43%

If the price takes longer to reach our value, the annual return is lower. The discount may also remain.

These scenarios use holding periods longer than the challenge. The 50% alpha haircut is a judgement. Submitted report, 2.7.

Cash flow and value-trap risks

	FCF margin	Prior mean	Peer median	Main warning
ADBE	41.4%	38.1%	34.7%	Buybacks, leverage and AI competition
KR	2.3%	1.4%	2.1%	Payouts exceed cash available without new debt
HRL	4.4%	7.3%	8.7%	Thin dividend cover; acquisition debt
BMY	26.7%	27.6%	25.6%	Patent expiry and replacement medicines
XOM	7.3%	11.2%	12.3%	Cycle dependence and lower cash generation
HPQ	5.1%	5.8%	7.5%	Falling print sales and high payouts

Annual comparisons use the latest full year, up to three earlier years and the named peer groups. The cash valuations use the separately stated TTM or normalized inputs.

Submitted report, 2; annual quality inputs and peer comparisons in the notebooks.

Catalysts and the challenge calendar

Date	Event and what we will watch	Timing
24 November	HP results and FY2027 guidance	Confirmed
28–29 November	Next scheduled portfolio rebalance	Course calendar
3 December	Kroger results: sales, fulfillment costs and cash	Confirmed
3 December	Hormel outlook: recovery and dividend coverage	Confirmed
9 December	Adobe outlook: renewals, pricing and paid AI demand	Confirmed
12–15 December	BMY data at ASH	Meeting dates fixed
Q4 / year-end	BMY readouts; Exxon Uaru and corporate plan	No fixed day
27 December	Challenge cutoff used in our analysis	Portfolio horizon

Kroger and Hormel together account for about 15% of NAV and report on the same day. Several events fall after the next rebalance. Events without fixed dates could miss the cutoff.

As recorded in the submitted report, sections 2–3. Annual alpha assumptions extend beyond the current holding period.

Why we chose six stocks

	Five-stock IR maximum	Chosen six stocks
Forecast residual IR	0.698	0.696
Recent daily TE	8.68%	7.74%
Largest stock target	9.09%	8.10%

We compared all 420 three-to-six-stock combinations within nine researched positive-alpha cases. FDS, INTU and GILD were alternatives.

With six stocks, forecast IR is almost unchanged, while recent TE and the largest stock weight are lower. The largest stock still exceeds our additional 8% preference.

We compare the stocks we researched using the same weighting rule. Submitted report, 2.8; main notebook.

Final holdings and trades

Bloomberg ID	Shares	Entry price	NAV weight	Trade shares
SPY US Equity	22,964	$735.29	17.39%	−11,205
EEMV US Equity	89,717	$69.71	6.44%	−43,893
DBC US Equity	553,213	$31.54	17.97%	−245,543
SCHD US Equity	60,380	$35.17	2.19%	−35,108
VGSH US Equity	55,948	$57.86	3.33%	−30,723
STIP US Equity	186,996	$100.51	19.35%	−101,634
ADBE US Equity	18,865	$239.30	4.65%	+18,865
KR US Equity	116,215	$67.70	8.10%	+116,215
HRL US Equity	305,167	$21.95	6.90%	+305,167
BMY US Equity	99,004	$62.14	6.33%	+99,004
XOM US Equity	21,201	$165.87	3.62%	+21,201
HPQ US Equity	127,276	$28.46	3.73%	+127,276

USD throughout. Entry: 7 November; price: 6 November close. Cash: $116.05. NAV: $97,115,068.58. Securities: $97,114,952.53. Stocks: 33.33320% of NAV.

Positive trades are purchases; negative trades are sales. The extra SPY and Adobe shares are included. Submitted report, 5.

Sources and methods

Company information

Issuer releases, financial statements, investor calendars and the peer comparisons archived with the notebooks. Stock-specific links appear on the six company slides.

Market and risk inputs

Public prices and total returns; FRED Treasury rates. Monthly calibration: November 2021–October 2026. Entry prices: 6 November 2026 close.

Calculations and data

Two executed notebooks, saved inputs, result tables and Excel model. The submitted report and portfolio description use the same NAV and quantities.

The company information, assumptions and event dates are the same as in our submitted report.